Business Objectives

Exam code: 9BS0

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Survival and profit maximisation

- Businesses can have a **range of objectives** when they start up
  - These objectives may change over time
- The aim of most start-up businesses is to **survive the initial entry** into the market and to generate enough **cash flow** to remain in business
  - **Effective cash flow management** is more important than gaining an income or seeking profit maximisation
- Once that has been achieved, the business objective usually switches to **profit maximisation**
  - Profits benefit shareholders as they receive **dividends** and increase the underlying share price
    - An increase in the underlying share price increases the **wealth** of the shareholder

Other business objectives

- Business objectives may change over time
- The core objective usually remains profit maximisation, but the business may choose to also focus on a range of other objectives
  - E.g. If a business focuses on employee welfare, it will increase its costs but raise the morale and productivity of its workers
    - The increased costs will reduce the level of profit **in the short term**
    - However, it may **lower costs in the long term**, as the business can retain employees, which lowers recruitment and training costs

Common business objectives

Objective	Explanation
Sales maximisation	• The focus is on generating the **maximum revenue possible** by selling its products/services

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Got it

	• The firm should lower prices to achieve revenue maximisation when its product is price elastic in demand (see subtopic 1.2.4 for more information)
Market share	• Market share refers to the **percentage of total sales in a particular market** that a company holds • A business may aim to increase its market share by producing and selling **better-quality products than its competitors**
Cost efficiency	• Cost efficiency refers to a company's ability to produce and deliver its products at the **lowest possible cost** • This objective is crucial for companies that operate in **highly competitive markets**, as low costs enable them to compete with low prices
Employee welfare	• This objective refers to a company's commitment to providing a **healthy and safe working environment** for its employees • A business may aim to promote employee welfare by offering competitive wages and **comprehensive benefits packages**, as well as promoting a healthy work-life balance
Customer satisfaction	• A business may aim to achieve customer satisfaction by **delivering high-quality products**, providing excellent customer service and offering attractive pricing ○ E.g. A restaurant may aim to achieve customer satisfaction by offering a welcoming atmosphere, friendly service and delicious food

Help me understand

	• This objective is increasingly important for businesses that aim to operate sustainably and **build a positive reputation** ◦ E.g. Superdry aims to reduce its environmental impact by using sustainable materials and minimising waste, while also promoting fair labour practices and contributing to social causes in the communities where it operates

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